# The *Grundrisse* (The 1857-58 Manuscript)

## The Chapter on Capital: Part 23

*The Realisation of the Total Social Product* (pp. 439-447)

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Imagine five capitalists: A, B, C, D and E. Capitalist E produces only means of subsistence consumed by workers. Even though she would realise her profit through exchange with wages, "his profit would originate not in the exchange of his commodity for the workers' money, but in the exchange of his capital with living labour." (Marx 1973, p. 439) It is not in the sale of the product that profit arises, but in the purchase of the living labour that operates in *production*.

Let the value of the product of each capital A, B, C, D and E be composed of $\frac{3}{5}$ "constant capital", $\frac{1}{5}$ necessary labour (wages) and $\frac{1}{5}$ surplus labour (profit). E exchanges $\frac{1}{5}$ of her commodity product with each of A, B, C and D;[1] $\frac{1}{5}$ would then "constitute" her wages. "He [the capitalist] would make no profit on this last $\frac{1}{5}$, as we have seen; or rather his profit would not arise from the fact that he gives the workers $\frac{1}{5}$ of his capital in money, and that they buy back the same $\frac{1}{5}$ from him as money—would not originate from the exchange with them as consumers, as centres of circulation." (Marx 1973, pp. 439-40) Likewise, "[w]ith the workers of A, B, C, D, his relation is not that of capitalist to worker, but of C[ommodity] to M[oney], of vendor to buyer." (Marx 1973, p. 440, square brackets in original) There is no profit to be made from these exchanges; rather, "[t]he gain [i.e. profit] comes from the realisation [*Verwertung*: valorisation] of the remaining $\frac{4}{5}$ of capital A, B, C, D, and this realisation [*Verwertung*: valorisation] consists of each of them, through the exchange, getting back the labour objectified in his product, in another form." (Marx 1973, p. 440) For each of A, B, C and D ("since there is a division of labour"), $\frac{3}{5}$ of their product replaces "constant capital, raw material and material of labour";

[1] A little further on in the text Marx spells out the exchange mechanisms through which this would be carried out. "We assume that the workers of A, B, C, and D consume none of their own products; E, however, exchanges $\frac{1}{5}$ [each] of the product of A, B, C, and D—that is, $\frac{1}{5}$ of their output; yet this exchange is, in a roundabout way, merely the wages that A, B, C, and D pay to their own workers. They give the workers money—each to the value of $\frac{1}{5}$ of their product, or $\frac{1}{5}$ of the product itself—as payment for necessary labour; the workers then use this—amounting to $\frac{4}{5}$ of the value of their product or capital—to purchase commodities from E. This exchange with E is thus merely an indirect form through which they advance that portion of capital representing necessary labour—that is, a *deduction* from their capital." (Marx 2006, p. 351, my translation (both Marx 1973 (p. 440) and Marx 1986 (p. 369) garble somewhat the original text here)

"their gain [profit]—the realisation [*Verwertung*: valorisation] of surplus labour-time, its positing as surplus value—consists in the reciprocal realisation [*wechselseitigen Verwertung*: mutual valorisation] of the last $\frac{1}{5}$." (Marx 1973, p. 440) The surplus product is then consumed by the capitalists themselves. "[A]s capitalists [...] [they] can in no way live on air, but [...] they do not live from their labour either, [so] they have nothing to exchange or to consume apart from other peoples' products. That is, for their own consumption they exchange just that $\frac{1}{5}$ which represents surplus labour-time, the labour created by means of capital. [...] [E]ach consumes $\frac{1}{5}$ of this $\frac{1}{5}$, i.e. $\frac{1}{25}$, in the form of his own product. There remain[s] $\frac{4}{25}$ to be either realised [*zu verwerten*: valorised] or to be transformed into use values for their own consumption through exchange."[2] (Marx 1973, p. 440)

Here, capital E realises the whole of its product through exchange with wages; A, B, C and D through exchange one among one another. Capitalist E consumes none of her own product, for she pays $\frac{1}{5}$ to her own workers, and $\frac{1}{5}$ is exchanged with each of A, B, C and D. (A, B, C and D make no profit on this, since these proportions of $\frac{1}{5}$ are what they have paid to their own workers.)

Given the assumed proportions for the commodity product of $\frac{2}{5}$ raw material, $\frac{1}{5}$ machinery, $\frac{1}{5}$ necessary labour (wages) and $\frac{1}{5}$ surplus labour (profit), then, assuming that each of A, B, C, D and E is equal to 100, then, if E producers workers' subsistence; D, capitalists' subsistence; A and B, raw materials; and C, machinery, the total commodity product is divided up as set out in the following table (the final—bracketed—row will be explained in a moment). (Marx notes that "the machine maker, etc., must each produce part of their goods for themselves". (Marx 1973, p. 441[3])

| **capital** | **product** | **labour** | **raw material** | **machinery** | **surplus** | |
|---|---|---|---|---|---|---|
| **A** | raw materials | 20 | 40 | 20 | 20 | =100 |
| **B** | raw materials | 20 | 40 | 20 | 20 | =100 |
| **C** | machinery | 20 | 40 | 20 | 20 | =100 |
| **E** | workers' subsistence | 20 | 40 | 20 | 20 | =100 |
| **D** | capitalists' subsistence | 20 | 40 | 20 | 20 | =100 |
| **(D)** | (capitalists' subsistence) | (10) | (20) | (10) | (10) | (=50) |

E exchanges the whole of her product: 20 with her own workers' wages, 20 each with the workers of A and B, in exchange of which she buys raw materials, 20 with the workers of C, in exchange for machinery; 20 remains as surplus produce. "Likewise the others in the relation," Marx says. (Marx 1973, p. 441) For each, there remains the 20 surplus product, which they exchange with D, so as to be able to consume it unproductively.

Obviously, if the capitalists consume the whole of their surplus product unproductively, then they will not be able to accumulate. Let us imagine, then, says Marx, that they only consume one half of the surplus. Then, however, capitalist D, the producer of capitalist means of subsistence, would be unable to continue in business. Marx assumes, therefore, a level of production for

[2] "Let A exchange $\frac{2}{25}$ with B, $\frac{1}{25}$ with C, $\frac{1}{25}$ with E, and likewise on the part of B, C, E." (This part of the Manuscript is an important foreshadowing of the ground Marx covers in the so-called "reproduction schemes" in the final part of volume two of *Capital*.)

[3] My translation from Marx 2006, p. 352; the Marx 1973 version ("the machinery-maker etc., has to produce every part of his commodity for himself") misses the sense of Marx's comment.

D of only 50 (rather than 100) in means of capitalist subsistence (this is what Marx wants to suggest in the last row of the table[4]). (Marx does not seem to take into account here that this supposition would immediately result in an overproduction on the part of the other capitalists.) Under these circumstances, A, B, C, D and E (Marx suggests) could accumulate 10 thalers each in money form. The 10 thalers per capitalist to be accumulated (50 in total) would have to be laid out, directly and/or indirectly, on more labour.

More or less at this point Marx abandons this particular exercise;[5] but he goes on to make the following important point. The valorisation (Marx 1973, p. 442 says "realisation"; Marx (Marx 2006, p. 353) says "Verwertung") takes place in the exchange among the capitalists, and "consists of each of them exchanging his own product for fractional parts of the products of the other four, arid this in such a way that a part of the surplus product goes for the capitalist's own consumption, and a part is transformed into surplus capital with which to set new labour into motion." (Marx 1973, p. 442) This valorisation contains within it the "real possibility" of "increased valorisation" (Marx 1973 again says "realisation"), that is, accumulation.

However. Marx now says the following (returning to the question of overproduction with which he began this particular part of the Manuscript); I cite the whole section from the original text, because the two extant translations (Marx 11973 and Marx 1986) have difficulty rendering it as it actually appears, and because a certain amount has been made of Marx's remark in the accompanying literature.[6]

> It is clear here that if D and E—where E represents all the commodities consumed by the workers, and D all those consumed by the capitalists—were produced in excess (that is, in excess relative to the proportion of capital allocated to the workers, or in excess relative to the portion of capital available for consumption by the capitalists—an excess measured against the ratio in which they must increase their capital, a ratio that later finds a minimum limit in the rate of interest), then a *general overproduction* would occur. This would not be because of a relative *shortage* of consumption of commodities on the part of the workers or the capitalists, but because there would be an overproduction of *both*—an excess *not in terms of consumption*, but in terms of maintaining *the proper balance between consumption and the valorization of capital*; *an excess for valorization*. (Marx 1973, pp. 442-3, my translation from Marx 2006, p. 353)

"In other words," says Marx:

> At a given point in the development of the productive forces—for this will determine the relation of necessary labour to surplus labour—a fixed relation becomes established, in which the product is divided into one part—corresponding to raw material, machinery, necessary labour, surplus labour—and finally surplus labour divides into one part which goes to consumption and another which becomes capital again. This inner division, inherent in the concept of capital, appears in exchange in such a way that the exchange of the capitals among one another takes place in specific and restricted proportions—even if these are constantly changing, in the course of production.

[4] The editors of the *Marx-Engels-Gesamtausgabe* note: "[i]n this table, the last bottom row of numbers [...] were added [by Marx] later. They refer to the assumption formulated later in the text that capitalists consume only half of the surplus value." (MEGA 2006, p. 859, my translation)

[5] "This example may or may not be continued later. Does not actually belong here." (Marx 1973, p. 442)

[6] See, for example, Harvey 2006, "THE WORLD MARKET AND CONSUMERISM".

Marx explains. If, for example, in the model of five capitals set out above, if the relation of necessary labour to the constant part of capital is $\frac{1}{5} : \frac{3}{5}$ (and, Marx fails to point out, the relation of necessary labour to that part of the surplus that is consumed by the capitalists[7] $\frac{1}{5} : \frac{1}{5}$), then the total production of the capitals that produce (workerss' and capitalists') means of subsistence can never be more than $\frac{2}{5}$ (workers' subsistence) + $\frac{1}{10}$ (capitalist subsistence) of the total product of the capitals; if each of the capitals is equal to 100, then the total of workers' and capitalists' subsistence produced will be equal to 150 (i.e. $1\frac{1}{2}$ capitals).

In the same way, the proportions in which capitals exchange with each other, according to the proportions of the type of product each produces, are fixed; as are the proportions of the product of each capital that need to be exchanged (i.e. transformed from one physical-functional form to another one). For example (says Marx), if the proportion of (the value of) raw materials to the total social product is 2 : 3, then $\frac{2}{3}$ of the total social product needs to be dedicated to the production of raw materials. At the same time, the producer of raw materials needs to convert $\frac{3}{5}$ of *her* product into non-raw materials (machinery, means of workers' subsistence, and surplus—whatever the final form of this last). The nature of capitalist reproduction, however, imposes these different proportions on the producers through external means (through the proportions non-existence, i.e. ultimately through *crises*): "[*e*]*xchange* in and for itself gives these conceptually opposite moments an indifferent being; they exist independently of one another; their inner necessity becomes *manifest* in the crisis, which puts a forcible end to their seeming indifference towards each other." (Marx 1973, pp. 443-4)

But these proportions are never fixed, insofar as capitalist production itself is itself subject to technological change ("revolution[s] in the forces of production", i.e. changes in the social productivity of labour). Nevertheless, the "foundations" of these proportions "always remains the relation of necessary to surplus labour, or, if you like, of the different moments of objectified to living labour."[8] (Marx 1973, p. 444)

The "limit" ("*Schranke*") is always given by the relation between necessary labour and surplus labour. This is the essential proportion, on which that between the part of the surplus that is consumed and that which is converted into new capital is grounded. But this second relation is not secondary vis-à-vis capital *as* capital, for "[i]f the surplus value were simply consumed, then capital would not have realised itself as capital, and *not* produced itself as *capital*, i.e. as value which produces value." (Marx 1973, p. 444)

Marx returns to his numerical example. The 40 lb of twist of a value of 200 thalers ("because they contain labour-time objectified in 200 thalers") is exchanged (for silver) for 198 thalers, i.e. below value. The capitalist producer loses $1\frac{1}{9}$% of profit but still makes 10%. The producer of silver makes 2 thalers (above normal profit) ("2 thalers as liberated capital").

Nevertheless, regarding the whole exchange, a "devaluation" ("*Entwerthung*") has taken place: 398 thalers are exchanged, in place of 400. For the silver producer, it is as if the labour she employs has become more productive: "as if [...] the same objectified labour were contained in 200 thalers as before, but that 2 of these thalers had left the column of necessary outlays in his

[7] Marx is specifically manoeuvring himself within the assumption of an accumulation of one half of the surplus product.

[8] It is also possible, Marx notes, "that the capital as well as their living labour capacity set free owing to the increase in productive forces must both lie dormant, because they are not present in the proportions in which production must take place on the basis of the newly developed productive forces."

books and gone over into the column of surplus value, so that he would have paid 2 thalers less for necessary labour." (Marx 1973, p. 445)

But now consider that the silver manufacturer exchanges the twist with, say, a silk manufacturer, for 200 thalers. Her (the silver manufacturer's) gain is 2 thalers. The total value exchanged is 600 thalers; the twist producer has lost two, the silver producer gained two, and the silk producer has come out even.

Suppose now that—owing to a social overproduction of twist—the twist manufacturer can only be sold at 180 thalers. The twist manufacturer will make no profit. Imagine now that the silver producer (who has bought the twist) is also unable to sell the twist on for more than 180 thalers (even though it contains objectified labour to the value of 200). The silver manufacturer would now have 40 lb of twist at a price of 180 thalers and 20 thalers "liberated capital". "It would be the same for him as if the production costs of twist had decreased, i.e. as if, owing to increased labour productivity, 40 lb twist contained 20 thalers less labour time [...]." (Marx 1973, p. 445) The total value on hand is now 380; there has been a "general devaluation", or a "destruction of capital" to the value of 20 thalers.

> Thus, in a crisis—a general depreciation of prices—there occurs up to a certain moment a *general devaluation* or *destruction of capital*. The devaluation, like the *depreciation* [Marx uses here the English word], can be absolute and not merely relative, because value expresses not merely a relation between one commodity and another, as does price, but rather the relation between the price of the commodity and the labour objectified in it, or between one amount of objectified labour of the same quality and another. If these amounts are not equal, then *devaluation* takes place, which is not outweighed by appreciation on the other side, for the other side expresses a fixed amount of objectified labour which remains unchanged by exchange. In general crises, this devaluation extends even to living labour capacity itself. (Marx 1973, p. 446)

This destruction of value and capital that takes place in crises is an expression of the growth in the productive forces that is wrought by the decrease in the value of commodities (and not by a "real" increase in the productive forces). The cotton manufacturer, for example, who loses capital on her product (twist), but finds that she can buy cotton and labour at a lower price too (as if there had been a real general rise in the productive forces). The crisis is ultimately resolved by a "real decrease in production, in living labour—in order to restore the correct relation between necessary and surplus labour, on which, in the last analysis, everything rests."[9] (Marx 1973, p. 446)

[9] Marx here makes a reference to Lord Overstone (Samuel Jones-Loyd), the banker (who Marx would comment on at length in the fifth part of *Capital* III, to the effect that, as a "true usurer", he believed that "crises simply resolve themselves in enormous profits for the one, and tremendous losses for the other."

## References

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